EXECUTIVE SUMMARY

1. Introduction

The Municipality of Claveria, Cagayan was created by virtue of Royal Decree of Spain on June 5, 1865. It is a third class municipality situated on the northwestern coast of the Province of Cagayan.

The audit covered the accounts and operations of the Municipality of Claveria for the year 2020 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs), whether prevailing laws, rules and regulations have been complied with and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audit were conducted to achieve these audit objectives.

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2. Highlights of Financial Information

The table below shows that the Municipality's Assets, Liabilities Government Equity as of December 31, 2020, were P398,375,028.32, P90,266,680.39 and P308,108,347.93, with an increase of 37.71%, 29.10% and 40.45%, respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P160,077,722.45 and P119,225,566.00, which increased by 18.67% and 8.29% respectively from last year's figures.

Particulars	2020	2019	Increase (Decrease)	%
Financial Position				
Assets	398,375,028.32	289,288,308.01	109,086,720.31	37.71%
Liabilities	90,266,680.39	69,918,276.72	20,348,403.67	29.10%
Government Equity	308,108,347.93	219,370,031.29	88,738,316.64	40.45%
Financial Performance				
Income	160,077,722.45	134,895,378.92	25,182,343.53	18.67%
Expense	119,225,566.00	110,102,121.83	9,123,444.17	8.29%
Appropriations, Allotments and Obligation				
Appropriations	156,395,954.04	143,069,376.38	13,326,577.66	9.31%
Allotments	156,395,954.04	143,069,376.38	13,326,577.66	9.31%
Obligations	122,101,650.97	119,430,578.06	2,671,072.91	2.24%

3. Independent Auditor's Report on the Financial Statements

We rendered a Qualified Opinion on the fairness of the financial statements since the correctness and validity of the Property, Plant and Equipment account valued at P208,526,213.25 (net of depreciation) could not ascertained due to failure to conduct the one-time cleansing procedures of PPE. The audit team was not able to apply other alternative audit procedures in determining the correct amount of said accounts.

4. Summary of Significant Audit Observations and Recommendations

a. One-time cleansing of Property, Plant and Equipment (PPE) account balances was not undertaken contrary to COA Circular 2020-006 dated January 31, 2020 due to non-conduct of physical count of PPE, thus, the accuracy of the "PPE" account in the financial statements amounting to P209,565,623.11 cannot be verified.

We recommended that Management:

1. Pursuant to COA Circular 2020-006 dated January 31, 2020, create an Inventory Committee to conduct physical inventory of all PPEs of the Municipality, whether acquired through purchase or donation, including those constructed by administration and found at station;

2. Thru the Inventory Committee created, update the property records based on the results of physical inventory, and reconcile with accounting records to make the records reflective of the actual count of PPEs;

3. Undertake all other procedures prescribed under COA Circular 2020-006 dated January 31, 2020 to come up with the reconciled and correct balances of PPE accounts in the financial statements; and

4. After the inventory taking, direct the Municipal Accountant to prepare the updated ledger cards for each item of the PPE pursuant to the Section 269 of the GAM for LGUs.

b. Procurements of various supplies, drugs and medicines related to COVID 19 response amounting to P13,021,821.28 were recognized as outright expenses instead of recording in the appropriate inventory accounts contrary to pertinent

provisions of Government Accounting Manual for Local Government Units, hence safeguards thereon were not adequately undertaken.

We recommended, pursuant to Sections 182, 187 and 189 Volume 1 of the Government Accounting Manual for LGUs to set up the proper safeguards on various supplies, drugs and medicines that:

1. The General Services Officer maintain stock cards for inventories received, issue Requisition and Issue Slip for the issuance of inventories and prepare and submit to the Municipal Accountant the required Report of Materials and Supplies Issued five days after the end of the month.

2. The Municipal Accountant maintain Supplies Ledger Card for each specific type of Inventories.

3. The Municipal Mayor require periodic physical inventory of supplies and materials. The physical count of unissued inventory items by type shall be conducted at least once a year and reported in the Report of the Physical Count of Inventories (RPCI).

c. Information on the emergency procurement of goods and infrastructure projects amounting to P16,824,373.58 to avert the adverse effects of the COVID 19 pandemic were not posted by the Municipality in the GPPB online portal contrary to the provisions of the Government Procurement Policy Board (GPPB) Circular No. 01-2020 dated April 6, 2020 which provides the Guidelines for Emergency Procurement mandated under Republic Act No. 11469, or the Bayanihan to Heal as One Act (Bayanihan Act), hence not compliant with the reportorial requirement of the law.

We recommended that Management:

1. Pursuant to COA Circular 2020-006 dated January 31, 2020, create an Inventory Committee to conduct physical inventory of all PPEs of the Municipality, whether acquired through purchase or donation, including those constructed by administration and found at station;

2. Thru the Inventory Committee created, update the property records based on the results of physical inventory, and reconcile with accounting records to make the records reflective of the actual count of PPEs;

3. Undertake all other procedures prescribed under COA Circular 2020-006 dated January 31, 2020 to come up with the reconciled

and correct balances of PPE accounts in the financial statements; and

4. After the inventory taking, direct the Municipal Accountant to prepare the updated ledger cards for each item of the PPE pursuant to the Section 269 of the GAM for LGUs.

5. Summary of Total Suspensions, Disallowances and Charges

Settlement of Suspensions and Disallowances is shown on table below:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	-	-	-	-	
Disallowances					
Prior Years	174,564.21	-	48,730.00	174,564.21	27.92%
Current Year	-	-	-	-	
Total	**174,564.21**	**-**	**48,730.00**	**174,564.21**	**27.92%**
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	-	-	-	-	

6. Status of Implementation of Prior Years' Audit Recommendations

Out of the six (6) audit recommendations in the prior years' report, four (4) were fully implemented and two (2) were partially implemented.